DUNCAN AVIATION

www.DuncanAviation.aero

Proposal Prepared For:

**STEVENS AEROSPACE AND DEFENSE**

BEECHCRAFT, B200

N4QL

BB-942

23 Jan 2026

2026.00739 3

# Agreement

To: Carlos Corona
Stevens Aerospace and Defense
Systems LLC
PO Box 310
Conestee, SC 29636
United States
+1 734.545.0196

Fax:

Customer No. 148425

Make, Model, Serial
BB-942

Registration
N4QL

Date of Issue
23 Jan 2026

Prepared By
Edduyn Pita +1 303.649.1790

Stevens Aerospace and Defense ("Customer") hereby engages Duncan Aviation, Inc. ("Duncan") to perform, and Duncan hereby agrees to perform the services (separately referred to as a "Service" and collectively as the "Services") described below and in the Proposal(s) and Supplemental Proposal(s) identified below (collectively the "Proposal(s)") on or related to the aircraft described above.

**Scope of Services:** (refer to Proposal(s) identified below for detailed description)

| Services Description | Proposal | Date | Estimated | Quoted |
|---|---|---|---|---|
| **Avionics Installation** | | | | |
| Install Artex ELT-1000 | 2026.00739-001 | 01/23/26 | | $ 9,577 |
| | | | | **$ 9,577** |

**Schedule: (for Services performed at Denver, CO)**

**Input Date:** **01/26/26**
**Expected Delivery Date:** **01/29/26***

*Subject to delays resulting from Customer authorized change orders or other additional work, or circumstances or conditions beyond Duncan's control.

Please return all pages of this Agreement

**Payments Terms:** A non-refundable deposit equal to $4,789 is required to secure schedule and is due on or before 01/30/2026. In the case of pre-buys, a non-refundable deposit equal to 100% of the quoted items will be required prior to the commencement of requested Services. Deposits are non-refundable and will be retained by Duncan as liquidated damages if Customer cancels or materially changes the scope or scheduling of the project.
Unless otherwise agreed in writing, payment in full will be made prior to aircraft departure from Duncan's facility, or the release of other Customer property, as applicable. Duncan will endeavor to provide Customer an estimate of the required payment several days prior to the scheduled departure date in an effort to provide Customer sufficient notice of the payment that will be due prior to departure. If Service is not provided at a Duncan facility, payment in full will be made prior to final sign-off. Acceptable methods of payment include approved check, wire transfer, or cash.
On projects expected to require more than ten (10) weeks to complete, progress payments equal to 50% of projected remaining account balance will be made at project mid-point or, if sooner, at six-week intervals from the date the project commences. A finance charge of 1.33% per month, or if less, the maximum rate permitted under applicable law, will be assessed on account balances unpaid for 30 days or more. Any exceptions to the foregoing payment terms must be approved in writing in advance by Duncan's Customer Accounts Department at 402.479.1574.

**Terms and Conditions:** This Agreement and all Services performed hereunder are subject to the Proposal(s), including the Proposal Terms & Conditions set forth in the Proposal(s),all of which are incorporated herein by reference. In the event a term or condition set forth in a Proposal conflicts with a term or condition in this Agreement, the term or condition in this Agreement shall govern. Items listed as 'estimated' are for informational purposes only. The final charges for estimated items will be based upon actual Services performed and may vary significantly from the estimated charge. Labor, parts and materials used in performance of work in addition to that described in the referenced Proposal(s) will be charged at Duncan's then current billing rates.

**Binding Effects:** This Agreement is not binding on Duncan or Customer unless (a) signed by Customer and returned to Duncan within twenty-one (21) days following the Date of Issue above and (b) signed by Duncan.



This proposal is confidential between Duncan Aviation and the Customer.

**Agreement No. 2026.00739-2**
**Carlos Corona**
**Stevens Aerospace and Defense**
**Systems LLC**
**PO Box 310**
**Conestee, SC  29636**
**United States**

**IN WITNESS WHEREOF, the parties have executed this Agreement on the dates shown below.**

| **DUNCAN AVIATION, INC.** | **Stevens Aerospace and Defense** |
|---|---|
| (“Duncan”) | (“Customer”) |
| By: _____ | By: _____ |
| Name: _____ | Name: _____ |
| Title: Manager - Sat Avionics/Install | Title: _____ |
| Date: Jan 23, 2026 | Date: _____ |



This proposal is confidential between Duncan Aviation and the Customer.

## Airframe

Services Available but not Requested.

## Avionics Installation

### Install Artex ELT-1000

2026.00739-1 by Edduyn Pita

**1.00 Artex ELT-1000 Emergency Locator Transmitter** **Quoted $ 9,577**

Furnish and install a new Artex ELT 1000 406 MHz Emergency Locator Transmitter System.

The Artex ELT 1000 is a 406 MHz emergency locator transmitter designed as a cost-effective upgrade for legacy 121.5 MHz systems. The existing ELT-10 wiring will be inspected to determine if it can be reused. If the wiring is found to be non-compliant with the ELT 1000 specifications, we will advise the customer and determine the next steps before proceeding.

Following an aircraft survey, it was noted that an ELT blade antenna is currently installed. We recommend replacing it with a new 406 MHz compatible antenna that utilizes the same footprint. A revised quote will be provided once a specific part number is selected. This approach ensures a more efficient and cleaner certification path. Sheet metal labor is not included in the quote pending the antenna survey.

**System Equipment:**

1ea. ELT-1000 Base Pack.

1ea. Remote 2 Wire Remote Switch.

1ea Blade antenna (Not included in the price)

Customer must provide the ICAO information ahead of time in order to have the new ELT programmed correctly.

**Total Quoted $ 9,577**

## Engine

Services Available but not Requested.



This proposal is confidential between Duncan Aviation and the Customer.

## Interior

Services Available but not Requested.

## Paint

Services Available but not Requested.



This proposal is confidential between Duncan Aviation and the Customer.

These Terms and Conditions consist of two parts: Part 1 – General Notes, Service Conditions and Miscellaneous Fees; and Part 2 – Legal Term and Conditions and both parts together shall be considered the "Terms and Conditions" and such Terms and Conditions shall prevail over any of Customer's general terms and conditions of purchase regardless of whether or when Customer has submitted its purchase order or such terms. Any additional or different terms presented by Customer are hereby objected to and shall not be binding on Duncan. Fulfillment of Customer's order does not constitute acceptance of any of Customer's terms and conditions and does not serve to modify or amend these Terms and Conditions. The Agreement incorporating this Proposal is referred to herein as the "Agreement," which shall be deemed to include and incorporate all of the Terms and Conditions of this Proposal, including (without limitation) any referenced Duncan Service Quote Provisions, as if they were in the same document as and a part of the Agreement. This Agreement is not binding on Duncan Aviation, Inc. ("Duncan") unless the Agreement is (1) signed by Customer and returned to Duncan within twenty-one (21) days of the Customer's receipt of the Agreement, and (2) signed by Duncan. "Party" means each of Duncan and Customer individually, and "Parties" means Duncan and Customer, collectively. "Service" or "Services" means certain products, parts, labor and/or other services purchased by Customer from Duncan. "Workscope(s)" means all of the Services listed on an individual Duncan Proposal.

**Part 1 - General Notes, Service Conditions and Miscellaneous Fees**

**1. Itemized Pricing / Discounts / Promotions:** Customer understands and agrees that: (1) itemized pricing or discounts/promotions contained within a Proposal(s) are intended for completion of all items concurrently by Duncan and are based upon the arrangements for payment to Duncan from any applicable maintenance service plan providers (i.e., Honeywell, Pratt & Whitney, JSSI, etc.) in effect as of the date hereof and are subject to adjustment if those arrangements change; (2) such adjustments may result in changes or deviations in the Service set forth in a Proposal(s) which may result in revised pricing or discounts/promotions, revised downtime and other revised terms and conditions; and (3) in the case of third-party promotions, Customer is responsible for working with third-party vendors to obtain such promotions.

**2. Quoted Inspections and Discrepancies:** Quoted inspection pricing does not include parts or labor required to address discrepancies found during the inspection, special inspections for continued airworthiness, AAIP inspection programs, or factory non-standard inspection programs unless otherwise noted. Other inspections such as APU, engine, FAR's, structural, out-of-phase, and Supplemental Maintenance Chapter 5.20 items will be additional and quoted separately upon request. Any changes or revisions to the OEM recommended maintenance program, after the Agreement is signed by the Parties, may result in additional charges. The Proposal(s) does not include repairs of any discrepancies in or on the Aircraft (which includes, but is not limited to, its engines, APU, avionics, accessories, components and loose equipment) found during the Workscope, including, without limitation, corrosion repairs or the repair or replacement of broken, damaged, or missing parts. Discrepancy repairs will be completed on a time and material ("T&M") basis, following Customer approval through Duncan's MyDuncan.aero project management tool, at the agreed upon T&M rate contained within the Proposal(s), or if none, Duncan's hourly T&M shop rate in effect when the Aircraft arrives for work.

**3. State Sales Tax:** Under applicable sales tax exemptions relating to aircraft based and registered outside of Nebraska, Michigan and Utah, and subject to Duncan's reasonable determination of compliance with the requirements for such exemption, including any applicable "Fly-Away" requirements, no sales tax will be collected with respect to amounts for parts and labor in connection with work performed on aircraft in such states. "Fly-Away" tax exemption will not be applicable if the aircraft is not relocated out of the state where the work was performed within the applicable number of days after completion of such Workscope. Even though Duncan may not collect sales tax, Customer's particular state may require payment of a use tax (or other similar tax) in connection with work performed away from Customer's home state. It is the Customer's responsibility to consult its own tax advisor for information specific to its situation. Sales/use tax will be collected for work performed and materials provided at locations outside of Nebraska, Michigan or Utah, when required by applicable state law or regulation.

**4. Service Bulletins:** Unless specifically stated otherwise, Service Bulletin ("SB") prices do not include the cost of consumables, test equipment rental, freight costs, equipment access or paint work following completion of the SB, or any aircraft modifications required due to previously incorporated alterations and/or discrepancies found while performing the SB. If required, these items will be additional and billed to Customer.

**5. Maintenance Service Programs:** Duncan's obligations are subject to any applicable avionics, airframe or engine maintenance service program Customer agreements (i.e., Honeywell MSP or MSP Avionics, Rockwell Collins CASP, JSSI Tip to Tail, GE On-Point, Duncan's DASP, or any other applicable program) ("Program Agreement") in effect and in good standing throughout the entire term of the Agreement between Duncan and Customer. In the event Customer's coverage under a Program Agreement is denied, terminated, reduced or otherwise ends during a Workscope which has not yet been completed, Customer will be responsible for, and agrees to immediately reimburse Duncan for any and all costs and expenses that (1) would otherwise have been covered under the Program Agreement; and (2) arise out of or in any way relate to the denial, reduction or termination of coverage under the Program Agreement. Additionally, Customer will be directly responsible to Duncan for all items not covered under the terms of the applicable Program Agreement. Maintenance must be performed within the manufacturer's specified hourly and calendar tolerance to avoid financial penalty.

**6. Tracking Cards:** Completion of the Customer's tracking inspection checklist will be completed at no additional charge to Customer; however, completion of individual tracking cards as related to the inspection checklist, any over and above cards, or updates to the account for the Customer's online tracking system will result in additional charges and billed on the final invoice unless specifically stated otherwise. Duncan is not responsible for the accuracy or completeness of Customer's tracking program or Customer's self-provided to do list.

**7. Access, Removal and Reinstallation:** Access, removal or reinstallation of aircraft components is not included in the proposal(s) unless specifically stated otherwise and will result in additional charges and billed to Customer.

**8. Equipment Relocation / Closeouts:** Unless specifically stated otherwise, equipment relocation, interior modifications or closeouts required to accommodate new equipment is not included and will result in additional charges and billed on the final invoice.

**9. Weight and Balance:** Completion of weight & balance of the Aircraft, either optional or required per maintenance manual, may require removal of aircraft contents. Emptying the contents of non-essential items and removal of loose equipment to prepare the Aircraft for a proper empty weight and balance will be additional and billed on the final invoice at Duncan's current shop rates. Weighing the aircraft in multiple and/or special configurations, if required, will be additional and billed on the final invoice.

**10. Test Flights:** Certain Workscopes may require a test flight to ensure form, fit and functionality while the aircraft is at altitude. The Customer is responsible for providing a qualified flight crew and for all operating costs related to such test flights.

**11. System Preservation:** Aircraft, engines, APU, systems or component preservation are not included in the Proposal(s). It is the responsibility of the Customer to make certain that all specific preservation tasks related to the Aircraft, engines, APU, systems or component that are required, or may become required while the Aircraft is at a Duncan facility, are identified. In the event an aircraft, engines, an APU or any of its systems or components require preservation, Customer will be invoiced the reasonable and necessary charges at Duncan's current T&M rate.

**12. Part 135 Training Requirements:** Management specific Part 135 training requirements, unless specifically called out in the Proposal(s), will be additional and billed on the final invoice.

**13. Tech Reps:** Duncan Tech Reps performing additional inspection tasks or completing corrective actions ouside of quoted items, if required, will be additional and billed to Customer at Duncan's then current Tech Rep rate.



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**14. Parts Pricing:** Pricing for Parts is based on current vendor pricing at the time of Proposal(s) preparation plus Duncan's parts margin. Such pricing is subject to change if vendor pricing changes at the time of actual purchase.

**15. Removed Parts:** Unless specifically noted otherwise, existing materials, core return parts, components and/or equipment removed from the Aircraft as required to complete the Workscope, and replaced with new, repaired or exchanged materials, components and/or equipment, will become the property of Duncan.

**16. Aircraft Hardware:** Whenever possible, existing hardware will be retained and reused. If existing hardware is unusable, new hardware will be installed with Customer approval and billed to Customer.

**17. Paint Products:** The paint process will be completed using Duncan preferred paint products and paint vendors in conjunction with the Duncan FAA approved paint process and the manufacturer's maintenance manual. Requests to deviate from Duncan's approved products and/or vendors must be approved in writing by the applicable Duncan Paint Manager and may result in additional costs, increased downtime and will void Duncan's standard warranty.

**18. Country of Registry and Certification:** Proposal(s) are applicable for U.S. registered (N#) aircraft and those countries which are on Duncan's FAA Part 145 repair station certificate. Return to service approvals for non-FAA registered, military or public use aircraft will follow the applicable regulations, bilateral agreements or repair station agreements of the Aircraft's country of registry. Additional engineering or certification required by the aviation governing body in the Aircraft's country of registry may require additional costs and downtime which will be billed on the final invoice. If the Aircraft is U.S. registered (N#), operating, and being maintained under FAA Regulations, all major alterations will be approved via the Duncan Aviation Organization Designation Authorization (ODA) under the Major Repairs, Major Alterations and Airworthiness (MRA) or the Supplemental Type Certificate (STC) Processes, and will be recorded on FAA Form 337.

**19. Registration Number Changes:** Registration number changes may require updating of certain Aircraft transponder equipment. Changes may also be required including, but not limited to, the following: FMS Equipment, ELT, Instrument Panel Placards, Airshow Systems, ICAO Registration Plate, and Passenger Briefing Cards. Changes and equipment updates will be completed on a T&M basis at Duncan's current shop rate. Application of a temporary registration number, if required, will result in additional charges and be billed on the final invoice.

**20. Product Images:** Images included in the Proposal(s), and conceptual images or illustrations provided in conjunction with the Proposal(s), are shown solely as a general representation only and the actual end product may vary.

**21. Incompatibilities:** Duncan is not responsible for system, STC, or component incompatibilities (e.g., two different systems from two different vendors) which may be discovered during the course of the Workscope. Additional equipment, labor or engineering required to complete the installation will result in additional charges and billed on the final invoice.

**22. Design Services:** Professional design services may be provided through Duncan's in-house design department and Customer will not be charged for such design services so long as the applicable design work is completed at Duncan. Pre-planning, material selection, exterior illustrations and research of pertinent FAA regulations are all included as part of the Workscope.

**23. Photos:** Customer grants Duncan the right to take photographs and/or video of the interior and exterior of the Aircraft. Duncan is authorized to copyright, use, and publish the photographs or video in print and/or electronically and will make commercially reasonable efforts to not name the Customer or show any identifying information.

**24. Aircraft Documentation:**

a. For the purpose of completing the Workscope, the Customer must furnish in a timely manner certain requested documentation for the Aircraft, including, but not limited to, the following:

i. Aircraft Logbooks;
ii. Weight / Balance Data;
iii. RVSM Maintenance Program Manual;
iv. Avionics Diagrams (Completion & Post-Completion);
v. Electrical Load Analysis (ELA) Reports;
vi. Airplane Flight Manual Supplements;
vii. Instructions for Continued Airworthiness;
viii. Avionics Equipment Lists and Equipment List Revisions;
ix. Seat/divan part numbers, serial numbers and TSO tag information;
x. Flammability & Fireblock burn test plans/reports;
xi. FAA Form 337 - Major Repair and Alteration Documentation;
xii. Placard drawings including weight limits of compartments;
xiii. Interior Parts Catalogue (IPC);
xiv. Interior Completion Maintenance Manual.

b. The Proposal(s) is subject to change pending Duncan's review of the Aircraft documentation and inspection of the Aircraft. If the documentation is unavailable, not furnished by the Customer or deemed to be insufficient by Duncan for the intended application, such scenarios will result in additional charges and billed to Customer.

**25. International Tariff:** Products purchased from international supplies may be subject to additional fees, such as tariffs, surcharges, duties and any other applicable charges and fees due to such product being purchased from an international supplier and imported into the United States.

**26. Consumables:** A 4% fee on labor will be charged for consumables, not to exceed the specified maximum fee for the total project invoice as provided below:

| Total Project Invoice | Consumables Cap |
|---|---|
| Up to $250,000 | $4,500 |
| $250,001 - $500,000 | $6,500 |
| $500,001 - $1,000,000 | $8,500 |
| $1,000,001 - $3,000,000 | $15,000 |

**27. Tooling/Rental Charges:** Any special tooling and/or equipment rentals reasonably required will be additional and billed on the final invoice.

**28. Defueling/Fueling:** Duncan will defuel a Customer's Aircraft and purchase such defuel at Duncan's then current rack rate plus applicable taxes. Duncan reserves the right to perform tests on the quality of such defuel and any such defuel failing to pass quality standards will be discarded at Customer's expense and Duncan will not purchase the sub-standard defuel. Maintenance, test flight and departure fuel can be put on the customer's Work Order at Duncan's then current maintenance rate (10% discount off retail rate) or purchased through their contract fuel provider.



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**29. Hazardous Materials:** Unless specifically stated otherwise, fees incurred by Duncan for the disposal of Hazardous Materials, such as tires, batteries, wastewater, etc., will be additional and billed on the final invoice.

**30. Freight:** Unless specifically stated otherwise, cost of freight will be additional and billed on the finalinvoice.

**31. Customer Furnished Parts:** Customer furnished parts and drop shipments must comply with FAA FAR Part 43 and will be subject to a handling fee as stated in Part 2, Legal Terms and Conditions, Section 2. Additional Charges.

**32. Third-Party Vendors.** In the event a Service requires parts, services or equipment provided by a party or parties other than Duncan, the cost for such third-party services and/or parts shall be the sole responsibility of Customer and such amounts will be billed to Customer in accordance with Duncan's standard billing and invoice procedures described in these Terms and Conditions. Pricing for services provided by third-party vendors is based on the current vendor pricing at the time of purchase and Duncan's current overhead and profit margin and is subject to change if vendor pricing changes when vendor services are rendered.

**Part 2 – Legal Terms and Conditions**

**1. Payment Terms; Deposit:**

a. Unless otherwise agreed in writing, payment in full will be made prior to Aircraft departure from Duncan's facility, or the release of other Customer property (e.g., landing gear or other send-in components), as applicable. If Service is not provided at a Duncan facility, payment in full will be made prior to final sign-off. Acceptable methods of payment include approved check, wire transfer, ACH. As noted on the Proposal(s), a deposit will be required prior to commencement of Services in order to reserve input date, manpower and schedule as well as purchase required parts and materials.

b. All Workscopes will require a scheduling deposit equal to 50% of the quoted items in order to reserve an input slot and purchase necessary parts and materials.

c. In the case of pre-buys, a deposit equal to 100% of the quoted items will be required prior to the commencement of requested Services.

d. In the event Customer terminates or materially changes the scope or scheduling of a Workscope, Customer shall pay a termination fee in an amount equal to 50% of the quoted items as liquidated damages. The Parties acknowledge and agree that the liquidated damages constitute compensation and not a penalty, and that the liquidated damages are a reasonable estimate of the anticipated or actual loss that might arise from Customer's termination or material change to the Workscope. Such loss includes, but is not limited to, restock fees, pre-ordered parts not eligible for return, and lost labor utilization.

e. All Projects may require a progress payment equal to the remaining balance of the full quoted amount (netting out the deposit) to be made at project mid-point. On projects expected to reuire more than ten (10) weeks to complete, an additional Progress payment equal to 50% of projected remaining balance will be required. Customer must notify Duncan of any billing disputes within thirty (30) days from the date of the invoice, otherwise Customer hereby agrees to such charges. In the event a Progress payment is late, Duncan reserves the right to stop work and move Customer's Aircraft out of Duncan's hangars in accordance with Section 3 in these Legal Terms and Conditions. Approximately seven (7) days prior to a progress payment being due, Customer will receive a pro forma invoice reflecting the projected remaining balance.

f. A finance charge of 1.33% per month, or if less, the maximum rate permitted under applicable law, will be assessed on account balances unpaid for thirty (30) days or more. Payment or account questions should be directed to **Duncan's Customer Accounts Department at 402.479.8175**. Any exceptions to the foregoing payment terms must be approved in writing in advance by Duncan's Customer Accounts Department or Duncan Legal Department.

**2. Additional Charges:** Items listed as "estimated" are for informational purposes only. The final charges for estimated items will be based upon actual Services including parts, materials and any third-party services provided and may vary from the estimated charge. The following additional charges are not reflected in the quoted prices and, if applicable, will be paid by Customer to Duncan upon demand: (1) Sales, use or excise taxes, or other similar government imposed taxes, duties, tariffs and charges; (2) Charges for repairing Customer-furnished parts, materials or equipment reasonably determined to be unsuitable for their intended purpose; (3) Charges for rework of or additions to Customer-furnished engineering and for fuel, oil, lubricants; (4) Handling fees for Customer furnished parts and drop shipments equal to twenty percent (20%) of Duncan's standard overhead and profit margin for the applicable part; (5) Overtime charges approved by Customer; (6) The amount, if any, by which exchange part credits granted to Customer by Duncan exceed the amount of such credit received by Duncan from the manufacturer or supplier (e.g., unlike core fees and core bill back fees); and (7) Freight charges and part or other surcharges passed on to Duncan by the applicable manufacturer or distributor. Due to the timing nature of these additional charges, Customer acknowledges that Duncan may send and Customer agrees to pay in full any additional invoice(s) sent to Customer after the final invoice and Customer's payment thereof.

**3. Aircraft Storage**:

a. Duncan shall provide commercially reasonable efforts to keep the Aircraft inside a Duncan hangar from the scheduled input date through the completion of Services. However, Duncan does not guaranty hangar space for the Aircraft before, during or after the provision of Services, and Customer accepts and assumes all risk and responsibility for any and all weather related damage to the Aircraft. Duncan maintains a storm stacking policy and will provide reasonable efforts to stack all aircraft at Duncan's facilities into hangars during periods of inclement weather. However, due to various factors such as hangar capacity and the speed at which storms can develop, Duncan does not guarantee each and every aircraft (including Customer's aircraft) will be moved into Duncan's hangars during inclement weather.

b. In the event that: (i) the Aircraft remains at the Duncan facility for more than three (3) business days after return to service or termination of this Agreement; (ii) Customer fails to pay for the Services as agreed; or (iii) Customer delays or fails to respond to Duncan's notices for the acceptance or rejection of Services before the expiration of the forty-eight (48) hour period following Duncan's notice to Customer of the need for such approval or rejection, then Customer agrees to pay Duncan, upon demand, a storage fee of $2,000 per day. Upon the commencement of storage fees being charged to Customer, Customer agrees that Duncan shall be authorized to move and store Customer's Aircraft outside of its hangar facilities and that Duncan will have no obligation of any kind or nature whatsoever to provide any further Services for the continued maintenance, preservation or protection of the Aircraft or any related parts, equipment or components, including, without limitation, the Aircraft's engines, provided, however, that Duncan may provide such maintenance, preservation and protection Services as it may, in its sole and absolute discretion, determine appropriate to protect its interests, and Customer shall be liable for payment of the same upon demand from Duncan. The foregoing shall be exclusive of and in addition to any other rights or remedies Duncan may have hereunder or in law or equity. Duncan reserves the right to place one or more liens on the Aircraft in the event Customer fails to pay all amounts owed to Duncan.

**4. Place and Time of Performance:** Unless otherwise provided in this Agreement or the Proposal(s), the quoted price is based on all Services being performed at a Duncan facility. Unless otherwise agreed, Duncan's performance will be carried out during regular (non-overtime) working hours. Customer specified change orders may result in additional charges and/or downtime. Duncan may from time to time in its discretion engage third parties to perform limited aspects of the Services.



This proposal is confidential between Duncan Aviation and the Customer.

**5. Substitutions:** Duncan may, after Customer's approval, incorporate changes in design, construction or installation and substitute equivalent parts, materials or equipment when it reasonably deems such changes will improve the quality, performance, reliability, stability, utility or appearance of the parts, materials or equipment supplied hereunder and are approved or otherwise acceptable to the original equipment manufacturer. If any parts, materials or equipment specified or contemplated herein are not readily procurable for their intended purpose due, directly or indirectly, to governmental prohibitions, restrictions or priorities, Duncan may, after Customer's approval, substitute equivalent suitable parts, materials or equipment.

**6. Software**: Any software provided hereunder shall be subject to the terms and conditions of the supplying vendor's software license. The warranties for software, if any, shall be limited to the warranties provided by such vendor. Duncan will use commercially reasonable efforts to assist Customer in obtaining any such third-party vendor warranties upon Customer's written request.

**7. Paint Designs**: Customer represents and warrants that it has the right to use any paint design or livery requested to be applied to the Customer's Aircraft. Customer agrees to indemnify, defend and hold harmless Duncan from and against any losses, costs, or damages (including reasonable attorney's fees) based on any third-party claims of copyright infringement or any other type of intellectual property infringement action resulting from Duncan's application of Customer's requested paint design or livery. If the Aircraft must be repainted due to such third-party class, Customer agrees to pay the costs associated with such repainting.

**8. Termination:** This Agreement may be terminated immediately for the following: (a) by either Party in the event the other Party commits a breach of any material term of this Agreement (including, without limitation, the obligation of Customer to make timely payments required hereunder to Duncan) which has not been remedied within thirty (30) days of a written notification and request to remedy the same (or, if such breach is incapable of being remedied within thirty (30) days, such Party has not taken substantial steps to remedy the breach during the thirty (30) days); and (b) by either Party if the other Party becomes insolvent, suspends or ceases its business, makes or attempts to make any assignment for the benefit of creditors, or has any action taken, or any proceeding is filed, by or against it under any bankruptcy, receivership, reorganization or insolvency laws of any jurisdiction. Notwithstanding the above, Customer shall make a full payment for all Services provided up to and including the day of termination, including, but not limited to, Services that are reasonably necessary to put the Aircraft in a suitable condition in order for the Aircraft to be removed from Duncan's facility. Duncan will use commercially reasonable efforts to return any materials or components ordered which are not utilized in the Workscope. Customer shall be responsible to pay for any and all applicable restocking fees; however, if any material or component cannot be returned to the vendor, the Customer shall be responsible to pay for the materials in full and the materials shall then become the property of the Customer. Duncan may immediately terminate this Agreement in the event that the Aircraft, Customer or Customer's home country becomes sanctioned applicable governing body. If Customer transfers title to the Aircraft during a Workscope and the new owner does not enter into an Agreement with Duncan within five (5) business days of the transfer, this Agreement is considered terminated and Duncan has the right to require the Customer to pay a termination fee in an amount equal to 50% of the deposit as liquidated damages.

**9. Limited Warranty**:

a. **Generally**: Duncan warrants that the Services will comply with applicable FAA and other governmental regulations in effect as of the date the Services are performed (as interpreted by (i) the FAA office having jurisdiction over the facility where the Service is performed; (ii) the designated FAA authority at the facility where the Service is performed; or (iii) other applicable governmental authority) and as follows:

i. STC, Approved Modifications and Interior Refurbishment: Services performed pursuant to an STC, field approved modifications and interior refurbishment, including upholstery, cabinetry, finish, sheet metal, and electrical, are warranted against defects in workmanship for a period of three (3) years or one thousand five hundred (1,500) hours of flight time, whichever occurs first, commencing from the applicable return to service date.

ii. Exterior Paint: Services for exterior painting of the Aircraft are warranted against defects in workmanship for a period of three (3) years or one thousand five hundred (1,500) hours of flight time, whichever occurs first, commencing from the applicable return to service date. If possible, Duncan will utilize the same products and specifications originally used on the Aircraft when performing warranty repairs.

iii. Parts: Parts furnished and installed by Duncan are warranted against defects in materials and workmanship commencing from the applicable return to service date or installation, whichever occurs first, for the following periods: (i) new and overhauled parts for one (1) year; and (ii) used or repaired parts for ninety (90) days.

iv. Vendor Parts and Labor: Third-party vendor parts and labor shall be limited to the warranty provided, if any, by the supplying vendor. Duncan will use reasonable efforts to assist Customer in obtaining any such third-party vendor warranties upon Customer's written request.

v. Other: Except as set forth above, the Services provided by Duncan under this Agreement are warranted against defects in materials and workmanship for one (1) year, or four hundred (400) hours of flight time, whichever occurs first, commencing from the applicable return to service date or installation, whichever occurs first. Duncan shall have no and assumes no liability for latent or passive failures to parts or components, including, but not limited to, valves, generators, veneer, windshields or side windows or other items that are susceptible to failure during extended downtimes.

b. **Warranty Coverage Conditions**: In order to receive warranty Services:

i. Customer must provide Duncan written notice of a warranty claim, including Customer's name, Customer contact information, and a description of the subject of the warranty claim no later than thirty (30) days after actual discovery of the defect or after the date Customer should have reasonably become aware of the defect. Claims made outside of any applicable warranty period will not be covered.

ii. All warranty work will be performed by Duncan or Duncan's designee at a Duncan facility, unless otherwise specifically authorized by Duncan in writing, and at a date and time mutually agreed upon in writing by Duncan and Customer.

iii. Duncan, in its discretion, may test any item received for warranty work for evidence of defect. If the item is found to not be materially defective due to a warranty condition, Customer will be responsible for and agrees to pay for the test(s) performed, including any recertification costs.

iv. Customer shall be responsible for all transportation costs, customs, duties, taxes, tariffs and related charges related to any warranty Services.

c. **The sole and exclusive remedy of Customer, and Duncan's sole and exclusive liability and responsibility, with respect to Duncan's warranty is limited to repair, replacement or refunding the purchase price (at Duncan's sole option) of the nonconforming or defective Services or part. All warranty Services will be performed in accordance with these Terms and Conditions.**



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d. **Limitations and Exclusions:** The warranties hereunder do not apply to: (i) normal wear and tear; (ii) the consequences of accident, negligence, abuse or misuse including, without limitation, damage due to improper storage, handling, transportation, operation or repair, removal, reinstallation, modification or alteration other than by Duncan; (iii) Customer furnished labor, parts, materials or equipment; (iv) unauthorized repair, including, but not limited to, any alteration, modification or repair by any third-party other than Duncan or Duncan's duly authorized designee, or work which, at Customer's direction, was not performed in accordance with Duncan's standard operating procedures; (v) in the case of Services for exterior paint, the warranties do not apply to the following: (A) extreme or severe weather, climatological, or environmental conditions; (B) normal paint erosion or fading; (C) composite or carbon fiber panels subject to cracking; (D) loose or working rivets which cause paint to release; (E) areas where pressurization leaks cause paint to release; (F) corrosion, including (without limitation) corrosion which is the result of dissimilar metals or materials, hardened fasteners, or pre-existing corrosion which was neither readily ascertainable nor reasonably discoverable; (G) defects caused by fluid contamination (e.g., fuel leaks, hydraulic fluid, etc.); (H) cracking coatings and fillers (e.g., Bondo®) in entry door jamb and surrounding areas of entry door; and (I) hairline cracks in vertical and horizontal 890 Proseal seams.

e. **THE FOREGOING LIMITED WARRANTY IS IN LIEU OF, AND THE CUSTOMER HEREBY WAIVES, ALL OTHER WARRANTIES WHATSOEVER, EXPRESS OR IMPLIED, INCLUDING WITHOUT LIMITATION ANY WARRANTY OF MERCHANTABILITY OR WARRANTY OF FITNESS FOR A PARTICULAR PURPOSE OR USE.**

**10. Limitation of Liability**:

a. **In no event shall either Duncan or Customer be liable to the other for any special, indirect, exemplary, incidental, consequential and/or punitive damages, including, without limitation, loss of revenue or profits, loss of goodwill, loss of use (including costs associated with substitute lift or replacement aircraft), loss of time, diminution of value, or inconvenience, regardless of the form of action, whether in contract, indemnity, warranty, strict liability or tort, or otherwise, even if informed of the possibility of any such damages or the Party has reason to know or in fact knows of such damages or such were foreseeable. In the event Duncan physically damages Customer's property, Customer's sole and exclusive remedy, and Duncan's sole and exclusive liability, is limited to the repair or replacement (at Duncan's sole option) of the damaged portion of the property.**

b. Notwithstanding the termination of this Agreement for any reason, the provisions in this Section shall survive such termination.

**11. Force Majeure**: Neither Party will be responsible for any failure or delay to meet its obligations under this Agreement (other than Customer's payment obligations) due to any cause beyond its reasonable control, including, without limitation: (i) government embargoes or other governmental acts that block or interfere with a Party's performance; (ii) any other acts or failure to act of any government, including delays, failure, or refusal to grant approval(s) by the FAA or other aviation authority; (iii) blockades; (iv) seizure or freeze of assets; (v) fires, earthquakes, floods, severe weather conditions, or any other acts of God; (vi) labor strikes or lockouts; (vii) riots, strife, insurrection, civil disobedience, armed conflict, terrorism or war (declared or not), or impending threat of any of the foregoing if reasonably expected to cause injury to people or property; or (viii) shortages of or inability to obtain materials, parts, equipment, or supplies.

**12. Assignment**: Neither Duncan nor Customer may transfer or assign all or any part of this Agreement or any of their respective rights and obligations herein, or delegate any duties, burdens or obligations arising hereunder, without the other Party's express written consent. Any attempted assignment shall be null and void and without any force or effect. If any such consent to assignment is given, the assignor shall nevertheless remain jointly and severally liable with the assignee for all of assignor's obligations under this Agreement. Notwithstanding the foregoing, Duncan may subcontract any of its duties or obligations hereunder.

**13. Governing Law, Venue, and Waiver of Jury Trial**: The Services performed by Duncan, and the Terms and Conditions, shall be subject to and interpreted in accordance with the laws of the state where the Duncan facility originally performing the Services is located (either Nebraska, Michigan or Utah, as applicable), irrespective of its choice of law rules and the United Nations Convention on Contracts for the International Sale of Goods. Customer agrees that any litigation, disputes or claims arising from or relating to the Services performed or the terms of this Agreement shall be resolved exclusively in either federal or state courts located in the state (either Nebraska, Michigan or Utah, as applicable) and county where the Duncan facility originally performing the Services has its principal maintenance and repair facility, and Customer hereby consents to the exclusive jurisdiction of such courts to resolve any such litigation, disputes or claims; provided, however, that if the Services are performed at a Duncan facility or any other location (including Customer's facilities), in a state other than Nebraska, Michigan or Utah, then the Services performed and these Terms and Conditions shall be subject to and interpreted in accordance with the laws of the State of Nebraska, irrespective of its choice of law rules and the United Nations Convention on Contracts for the International Sale of Goods, and, in such event, any litigation, disputes or claims arising from or relating to the Services performed or the Terms and Conditions shall be resolved exclusively in either federal or state court in Lincoln, Lancaster County, Nebraska, and Customer hereby consents to the exclusive jurisdiction of such courts to resolve any such litigation, disputes or claims. **IN ANY CASE, AND TO THE EXTENT PERMITTED BY APPLICABLE LAW, DUNCAN AVIATION AND CUSTOMER EACH FULLY UNDERSTAND AND AGREE TO WAIVER OF JURY TRIAL IN ANY DISPUTE RESOLUTION PROCEEDING RELATED TO THIS AGREEMENT.**

**14. Representations**: Each Party represents and warrants to the other Party that: (a) it has full right and authority to enter into this Agreement and that by entering into this Agreement, it is not in violation of its charter or bylaws, or any law, regulation or agreement by which it is bound or to which it is subject; (b) the execution, delivery and performance of this Agreement has been duly authorized by all requisite corporate action, and that the signatories for such Party hereto are authorized to sign this Agreement; and (c) the representing party is a business entity duly organized and validly existing and in good standing under the laws of its jurisdiction of organization.

**15. Waiver**: No waiver by either Party of any of the provisions of this Agreement is effective unless explicitly set forth in writing and signed by both Parties. No failure to exercise, or delay in exercising, any rights, remedy, power or privilege arising from this Agreement operates or may be construed as a waiver thereof. No single or partial exercise of any right, remedy, power or privilege hereunder precludes any other or further exercise thereof or the exercise of any other right, remedy, power or privilege.

**16. Confidentiality**: This Agreement and all documents, data, information and other materials which are disclosed by one Party to the other Party in fulfilling the provisions and intent of this Agreement are and shall be confidential (the "Confidential Information"). Neither Party shall divulge or otherwise disclose the Confidential Information to any third-party without the prior written consent of the other Party to this Agreement, except that either Party may make disclosure on a need to know basis to those employees, officers, directors, agents, and consultants required for the implementation or performance of this Agreement and in cases where disclosure is required by judicial or administrative order or subpoena. Upon termination of this Agreement for any reason or upon written request of a Party, each Party shall return or confirm in writing to the other Party the destruction of all Confidential Information then in such party's possession, together with any copies of the same. The requirements of confidentiality set forth herein shall survive the return of such Confidential Information or termination of this Agreement for a period of two (2) years as long as such information remains confidential. Nothing herein shall be construed as granting any right or license under any copyrights, trademarks, service marks, trade names, inventions, or patents now or hereafter owned or controlled by either Party.

**17. General**: This Agreement and the Terms and Conditions set forth herein are binding on and enforceable by and against the Parties, their successors and assigns. No part of this Agreement shall be affected if any other part of it is held invalid or unenforceable. Customer agrees that approvals by Customer using Duncan's "MyDuncan.aero" project management system shall have the same force and effect as if Customer provided its written approval per the terms of this Agreement, and that Customer's electronic signatures shall constitute and be deemed to be an original signature. This Agreement shall constitute the sole and entire agreement between Duncan and Customer with respect to the matters set forth herein, superseding any and all prior oral or written agreements or understandings. This Agreement may only be modified by a written addendum specifically referencing this Agreement and signed by Duncan and Customer.



This proposal is confidential between Duncan Aviation and the Customer.